

How to Run Offers the Right Way

Not all promotions are discounts. This is the first thing most brands get wrong. They hear "promotion" and immediately think "percentage off." But the best brands use a much wider toolkit, and most of the best tools on the menu don't involve cutting your price at all.

Here's the full spectrum of what's available to you.

Percentage off is the default. 15%, 20%, 25%. Easy to understand, scales with AOV. The risk is obvious: do it too often and you train your customer to never pay full price. Look at Ridge. Their primary always-on offer is a 10% influencer code. MKBHD, NEEDLEDROP, and dozens of other creators each have their own code. It's a soft discount that doesn't feel like a "sale" because it's attached to a creator relationship, not a promotional event. That's a smart distinction.

Dollar off works better at lower AOVs where percentages feel small. "\$10 off" sounds better than "8% off" on a \$125 product. It also works as a threshold play. "Spend \$100, get \$20 off" nudges AOV up while keeping the discount controlled.

BOGO and Buy X Get Y is great for consumables. "Buy 2, get 1 free" is essentially 33% off, but it feels like getting something for free, which is psychologically more powerful than a number on a screen. Liquid IV has used this format well. Buy a box, get a box. It moves volume, introduces new flavors, and feels generous rather than desperate.

Gift with purchase is the premium brand's best friend. You're adding value without reducing price. The perceived value of the gift can be way higher than your actual cost. Glossier does this during launches with branded pouches or mini products that cost them \$3-4 but carry \$15-20 in perceived value. The customer feels like they got something special, not something discounted. This is also how you introduce new products. Your GWP can be a trial size of something you're about to launch full-size.

Bundle pricing is how you increase AOV without feeling promotional. Create a "Starter Kit" or "Complete System" that's 15-20% cheaper than buying the items individually. The discount is built into the structure, not slapped on as a code. Most subscription-supplement brands are the poster children here. They don't discount. They bundle. Their welcome kit comes with a shaker, travel packs, and an entry to win something big! The "deal" is built into the bundle value, not a promo code.

Free shipping thresholds are a promotion disguised as a policy. "Free shipping on orders over \$75" nudges AOV up and removes purchase friction without touching price. Pair this with a progress bar in cart ("You're \$18 away from free shipping!") and watch your AOV climb.

Loyalty-only and VIP access is where the price stays the same but access is the reward. "Members get first access to the new drop" or "VIP-only bundle." Feastables uses drops and limited editions to create urgency without ever discounting. The promotion IS getting access, not getting a deal.

Early access and pre-sales let your email list or SMS subscribers buy 24-48 hours before the public. No discount needed. The access itself is the value.

Flash sales can work if used sparingly, maybe 2-3 times per year. The scarcity has to be real. If you run a "flash sale" every month, it's not a flash sale. It's your regular price with extra steps.

Tiered spend-to-save means "Spend \$100, save 10%. Spend \$150, save 15%. Spend \$200, save 20%." Incentivizes larger carts and works well for brands with wide product catalogs.

Mystery offers and surprise-and-delight includes post-purchase surprise discounts, mystery gift boxes, or spin-to-win popups. I'll be honest, spin-to-wins are polarizing. They convert, but they can feel cheap. If your brand positioning is premium, skip them. If you're playful and fun, they can work. Context matters.

Subscribe and save might be the sleeper of this entire list. "Save 15% when you subscribe" is technically a promotion, but it feels like a pricing tier. And it locks in LTV. More on this later.

The point is this: you have at least 12 different tools available to you. Most brands use 2-3 and ignore the rest. Before your next promotion, look at this list and ask yourself if there's a better format for what you're trying to accomplish.

When to promote (and when not to)

The biggest mistake isn't the offer itself. It's the timing and cadence.

Brands that promote reactively (revenue is down, run a sale) create a pattern customers learn. Wait long enough and a deal will come. It becomes a death spiral. Brands that promote on a calendar (planned moments, tied to real reasons) create the feeling of intentional generosity, not desperation. Big difference.

Here's the framework I recommend.

Plan 4-6 major promotional moments per year. These are your real "events." New Year/Fresh Start, Valentine's/Mother's Day/Father's Day, a summer moment if it makes sense for your category, Back to School if relevant, Black Friday/Cyber Monday, and Holiday/End of Year. Not all of these apply to every brand. Pick the ones that make sense for your audience and category.

Run monthly "soft promotions" that don't require discounts. New product drops, limited editions, bundle launches, content series, creator collaborations. These keep the brand active and interesting without touching price. This is where most of the Feastables and Liquid Death playbook lives. Their "promotions" are new things to talk about, not new prices.

Do quarterly loyalty moments. VIP-only access, subscriber appreciation, referral program pushes. Reward your best customers without discounting for everyone.

And here's when NOT to promote.

Don't promote when you're about to launch a new product. Discounting now will cannibalize your launch momentum. Don't promote when your CAC is already low and conversion is healthy. You're giving away margin for no reason. Don't promote if you just ran a promotion 2 weeks ago. Too frequent. And don't promote just because you need to hit a monthly revenue number and panicking. That's a panic sale, and your customer can smell it.

Before you launch any offer, ask yourself these five questions. Is there a strategic reason for this (launch, seasonal, clear inventory, acquire a new cohort)? Does the offer align with our brand positioning? When was our last promotion, and if it was less than 3 weeks ago, do we really need another one? What's the margin impact, and can we absorb it? Does this attract the right customers, or just deal-seekers?

If you're always on sale, you're never on sale. You're just a brand with a higher list price and a permanent discount. Your customer knows it. Your margins know it.

The math behind the offer

The specific structure of your offer matters more than most brands realize. "20% off" and "\$20 off" and "Free gift valued at \$20" can all cost you roughly the same, but they convert at wildly different rates depending on your AOV, your audience, and your positioning.

There's a simple framework called the Rule of 100.

If your product is under \$100, use percentage off. "25% off" sounds bigger than "\$15 off" on a \$60 product. If your product is over \$100, use dollar off. "\$30 off" sounds bigger than "15% off" on a \$200 product. It's not a hard rule, but it's helpful.

Beyond that, here's how the different offer types stack up in terms of real impact.

Percentage off sitewide has a high margin impact because it eats margin across every SKU. It's negative for brand if overused. Converts well short-term, but trains customers to wait for the next one. Best for volume moves and clearance.

Dollar off with a threshold has a moderate margin impact because you control it via the threshold. Neutral on brand. Good for pushing AOV up without the broad margin hit of a sitewide percentage.

Gift with purchase has a low margin impact because your only cost is the gift itself. Positive for brand because you're adding value, not cutting price. Moderate conversion lift, but attracts better customers who aren't just chasing deals.

Bundle pricing has a low to moderate margin impact because the discount is baked into the structure. Positive for brand because it feels like value, not a sale. Strong conversion lift, especially for multi-SKU brands.

Subscribe and save has a low margin impact because the LTV offsets the per-order discount. Positive for brand since it's a retention play, not a promo. Moderate conversion, but massively better

unit economics over time.

Free shipping thresholds have a low margin impact. Neutral to positive on brand. Moderate conversion lift, but great for nudging AOV up without touching price at all.

Here's where it gets interesting. The best offers combine multiple low-cost elements to create high perceived value without destroying margin. Subscribe (save 15%) plus free shipping plus a GWP on the first order. Your total cost might be \$8-12 in margin per order, but the perceived value to the customer is \$40+. And you've locked in a subscriber.

Let me run the math on a quick example. Say you're a supplement brand with a \$65 AOV and 70% gross margin. That's \$45.50 in gross profit per order. A 20% discount costs you \$13 per order, leaving \$32.50. A gift with purchase that costs you \$3 in COGS but has \$15 in perceived value leaves you with \$42.50. A subscribe-and-save at 15% off costs you \$9.75 on the first order, but if your average subscriber stays 4+ months, that one subscriber generates \$45.50 x 3+ additional orders. The \$3 GWP with a subscription lock-in is worth 10x the flat 20% discount that attracts a one-time bargain hunter.

Not all offers that "cost the same" are equal. Think about what each one does for your long-term economics, not just this week's revenue.

The Discount Ladder: different offers for different stages

Most brands give the same offer to everyone. 15% off in the popup for a new visitor. 15% off in the cart abandon email. 15% off in the win-back email for someone who hasn't bought in 6 months. That's lazy and expensive.

Your offer should escalate based on where someone is in the funnel and how much persuasion they actually need. Here's the ladder.

New visitor, first touch. Don't lead with a discount. Offer something that captures their email without costing you margin. A quiz ("Take our skin quiz and get a personalized routine"), a free guide, or educational content. If you absolutely must offer something, free shipping on the first order is about as cheap as it gets.

Email or SMS subscriber, hasn't purchased yet. Now you can introduce a soft incentive. "Welcome offer: 10% off your first order" or "Free gift with your first purchase." Most brands start way too aggressively here. 10% or a small GWP is plenty for someone who just opted in. Don't blow your best offer on someone who hasn't even browsed a product page yet.

Cart or browse abandoner. This is where sequencing matters. Email 1, about an hour after they abandon: no discount, just a reminder with social proof. "Still thinking about it? Here's what 4,000+ customers love about it." Email 2, 24 hours later: if still no purchase, remind them about the welcome offer. Email 3, 48-72 hours later: if still nothing, consider a small escalation. Free shipping plus a GWP, or bump from 10% to 15%. The key is that most brands lead with the discount in email 1. That trains customers to add items to cart, leave, and wait for the coupon to show up. Your first abandon email should always be discount-free.

One-time buyer, hasn't returned. Personalize to what they bought. "Time to restock your [product]" or "Complete your routine with [complementary product]." The offer can be soft: free shipping, a small GWP, or loyalty points. The second purchase is the most important moment in the customer lifecycle. This is where you should invest creative energy, not necessarily deeper discounts.

Lapsed customer, 90+ days, no purchase. This is where you can be more aggressive. 15-20% off, limited time. "We miss you" framing. Or a "win-back bundle" at a special price. It's cheaper to reactivate a lapsed customer than to acquire a new one. This is the ONE place in the funnel where deeper discounts are strategically smart.

VIP and loyal customer. Not discounts. Access. Early access to new drops. Exclusive products or colorways. Free upgrades. Handwritten notes. The VIP experience should feel better than a discount. The anti-pattern I see constantly: brands giving their best customers the same 20% off that everyone else gets. You're devaluing the relationship. Your most loyal customers don't want a coupon. They want to feel like insiders.

Here's the gut check. Your welcome popup shouldn't offer the same thing as your win-back email. If it does, you don't have a strategy. You have a coupon.

Where and how to deploy your promotions

The channel matters as much as the offer. Running a sitewide sale banner while also running full-price ads on Meta is a common and expensive mistake. The sequencing and channel strategy need to work together.

Email and SMS should be your primary promotional channel. Your list opted in because they want to hear from you. They expect value. Best practice is to promote to your email list 12-24 hours before going public. This rewards subscribers and creates FOMO for non-subscribers. SMS should be reserved for your highest-impact offers only. If you text your list every week, you'll get unsubscribes. If you text 2-3 times per month with genuinely good offers, you get conversions. Jones Road Beauty is a great example here. Email-first, almost never runs sitewide sales. Their promotional moments feel intentional and rare, which makes each one more effective.

On your site, use announcement bars for evergreen offers (free shipping threshold, subscribe and save). Use timed banners for limited promotions with real 48-72 hour windows. And here's one people miss: kill the popup during active promotions. If you're already running a sitewide offer, why are you also showing them a popup with a separate discount? You're stacking discounts for no reason.

Paid ads during promotional periods should run specific creative, not your evergreen ads with a discount slapped on. If you're running a BOGO, the ad should sell the BOGO. Not your normal product pitch with "BOGO" in the corner. Also, pause or reduce your evergreen full-price creative during sales. Running "\$79" in one ad and "25% off" in another creates confusion and erodes trust. The exception to this is influencer codes. Always-on 10% creator codes don't conflict with your regular pricing because they're tied to a personality, not a sale event.

Post-purchase upsells are the most underused promotional moment. Someone just bought. They trust you. They're in buying mode. Offer a one-time discount on a complementary product. "Add [X] to your order in the next 10 minutes and save 20%." It only shows after purchase, so it doesn't cannibalize the initial sale.

Before launching any promotion, map every customer touchpoint and make sure they're telling the same story. Homepage banner, email, SMS, ads, social, influencers, popups, and checkout should all be aligned. If even one is off, you're creating confusion.

Subscription as a promotional strategy

For consumable and replenishable products, subscription pricing might be the smartest "promotion" you can run. It feels like a discount to the customer, but it's actually a retention mechanism that dramatically improves your unit economics.

Here's why subscribe-and-save is the new promo. The customer perceives it as saving 10-20%. You perceive it as a predictable revenue stream with higher LTV. Unlike a one-time coupon, the "discount" is conditional on staying subscribed. Cancel and you pay full price. It shifts the whole conversation from "deal" to "membership."

The three tiers that work well together:

1. One-time purchase. No discount. This is your anchor price. It exists to make subscription look like the obvious move.
2. Monthly subscription, every 30 days. 10-15% off. Easy entry, low commitment. This is your on-ramp.
3. Quarterly subscription, every 90 days. 20-25% off. Better margin per shipment, better payback period on paid acquisition, lower churn.

This is where the math gets really interesting for brands running paid. If your payback period on a monthly sub is 3+ months, pushing to quarterly means you can get payback on the first shipment. That changes how aggressively you can spend on Meta.

How to make subscription the obvious choice without forcing it. Default to subscription on the PDP and make one-time the secondary option. Add value to the subscription that doesn't exist for one-time buyers: free shipping always, access to member-only products, a surprise GWP in month 3. And show the savings in dollars, not just percentages. "Subscribe and save \$12/month" is more compelling than "Subscribe for 15% off." Huel does this well. Subscription is the default, the savings are clear, and they add value with a shaker and recipe book on the first order. It doesn't feel like a discount. It feels like joining something.

Some brands are going even further. AG1 doesn't discount at all. Ever. No promo codes. No sales. No Black Friday deals. The subscription IS the offer, and the welcome bundle IS the GWP. It's elegant because it protects the brand from ever feeling discounted while still giving new customers a compelling reason to convert.

That model isn't for every brand. It works best for products with natural replenishment cycles, high perceived value, and strong brand equity. But if you're in supplements, skincare, food and beverage, coffee, or any other consumable category, it's worth studying seriously.

Protecting brand equity while promoting

The number one risk of promotions isn't margin erosion. It's brand erosion. How you promote matters more than what you promote. The same 20% offer can feel premium or cheap depending entirely on execution.

Think about the language.

"Members-only pricing." "Exclusive access." "Limited release." "Welcome gift." That's premium framing.

"SALE! EVERYTHING MUST GO." "HUGE SAVINGS." "UP TO 50% OFF." That's clearance framing.

Same discount. Completely different signal to the customer.

Here are the rules I follow for promoting without looking cheap.

- Never use all caps in promotional messaging. It screams desperation. Let the offer speak for itself.
- Tie every promotion to a reason. "Our 5th anniversary" or "To celebrate our new launch" gives context. A random Tuesday sale with no explanation feels like the brand is struggling.
- Limit the visual disruption. Your promotional banners and emails should still look like your brand. If your normal aesthetic is clean and minimal, your sale email shouldn't look like it came from a different company. Stay on-brand even when you're offering a deal.
- Be specific with timing. "This weekend only" or "Ends Friday at midnight" creates urgency without desperation. "Limited time" with no end date is meaningless, and everyone knows it.
- Don't discount your hero SKU constantly. If your flagship product is always on sale, it's not your flagship anymore. It's your bargain product. Protect your hero. Discount ancillary products or bundles instead.

Look at how the best brands handle this. Aesop and Le Labo never discount. Period. The brand equity IS the value proposition. If you want a deal, you're not their customer. Apple rarely discounts, and when they do during Back to School or Black Friday, it's a gift card, not a price cut. The product price never drops. The perceived value never drops.

Here's a good gut check. Show your promotional email to someone who has never heard of your brand. Based solely on that email, do they think you're a premium brand having a moment of generosity, or a brand trying to clear inventory? If it's the latter, rewrite it.